



CLARK SCHAEFER HACKETT
BUSINESS ADVISORS

Highland Computer Forms, Inc.

Financial Statements and Supplementary Information
December 31, 2024 and 2023
with Independent Accountants' Review Report

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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

Stockholders
Highland Computer Forms, Inc.
Hillsboro, Ohio

We have reviewed the accompanying financial statements of Highland Computer Forms, Inc., which comprise the balance sheets as of December 31, 2024 and 2023, and the related statements of income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of Highland Computer Forms, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our review.

Accountant's Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in conformity with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included on pages 12 - 23 is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from, and relates directly to, the underlying accounting and other records used to prepare the financial statements. The supplementary information has been subjected to the review procedures applied in our review of the basic financial statements. We are not aware of any material modifications that should be made to the supplementary information. We have not audited the supplementary information and do not express an opinion on such information.

Clark, Schaefer, Hackett & Co.

Springfield, Ohio
February 21, 2025

Highland Computer Forms, Inc.
Balance Sheets
December 31, 2024 and 2023

Assets

	<u>2024</u>	<u>2023</u>
Current assets:		
Cash and cash equivalents	\$ 308,732	606,665
Certificates of deposit	300,000	-
Accounts receivable, trade	608,466	917,593
Accounts receivable, other	8,193	90,154
Inventories	1,021,535	1,096,561
Prepaid expenses	<u>5,961</u>	<u>11,844</u>
	<u>2,252,887</u>	<u>2,722,817</u>
Property, plant and equipment:		
Land	100,000	100,000
Buildings	500,000	500,000
Leasehold improvements	1,143,406	1,093,017
Machinery and equipment	6,759,705	6,717,643
Vehicles	149,313	149,313
Furniture, fixtures and office equipment	<u>231,112</u>	<u>209,970</u>
	8,883,536	8,769,943
Less accumulated depreciation	<u>7,125,015</u>	<u>6,897,027</u>
	<u>1,758,521</u>	<u>1,872,916</u>
Other assets:		
Right of use assets, operating	-	7,572
Goodwill	10,000	10,000
Deposits	<u>500</u>	<u>10,009</u>
	<u>10,500</u>	<u>27,581</u>
	<u>\$ 4,021,908</u>	<u>4,623,314</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Balance Sheets (continued)
December 31, 2024 and 2023

Liabilities and Stockholders' Equity

	<u>2024</u>	<u>2023</u>
Current liabilities:		
Long-term debt, current portion	\$ 15,885	18,817
Finance lease, current portion	-	3,001
Operating lease, current portion	-	7,572
Accounts payable, trade	281,913	284,395
Customer deposits	-	202,140
Accrued payroll and related costs	237,167	295,060
Accrued rent, affiliates	-	77,500
Accrued taxes	<u>43,283</u>	<u>43,884</u>
	<u>578,248</u>	<u>932,369</u>
Long-term debt:		
Note payable, affiliate	193,786	193,786
Long-term debt, net of current portion	<u>399,222</u>	<u>415,107</u>
	<u>593,008</u>	<u>608,893</u>
Stockholders; equity:		
Common stock, 500 shares authorized, 499 shares issued and outstanding	1,000	1,000
Additional paid-in capital	549,000	549,000
Retained earnings	<u>2,300,652</u>	<u>2,532,052</u>
	<u>2,850,652</u>	<u>3,082,052</u>
	<u>\$ 4,021,908</u>	<u>4,623,314</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Income
Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Sales, net	\$ 9,225,145	10,920,420
Other income	<u>126,021</u>	<u>206,685</u>
Net revenue	9,351,166	11,127,105
Cost of goods sold	<u>8,063,253</u>	<u>9,494,793</u>
Gross profit	1,287,913	1,632,312
Operating expenses	<u>1,420,825</u>	<u>1,510,480</u>
Income (loss) from operations	<u>(132,912)</u>	<u>121,832</u>
Other income (expense):		
Interest income	7	-
Interest expense	(19,149)	(22,060)
Gain on disposal of fixed assets	<u>2,667</u>	<u>-</u>
	<u>(16,475)</u>	<u>(22,060)</u>
Net income (loss)	\$ <u><u>(149,387)</u></u>	<u><u>99,772</u></u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Changes in Stockholder's Equity
Years Ended December 31, 2024 and 2023

	Common Stock	Additional Paid-In Capital	Retained Earnings	Total
Balance, January 1, 2023	\$ 1,000	549,000	3,126,168	3,676,168
Distributions	-	-	(693,888)	(693,888)
Net income	<u>-</u>	<u>-</u>	<u>99,772</u>	<u>99,772</u>
Balance, December 31, 2023	1,000	549,000	2,532,052	3,082,052
Distributions	-	-	(82,013)	(82,013)
Net loss	<u>-</u>	<u>-</u>	<u>(149,387)</u>	<u>(149,387)</u>
Balance, December 31, 2024	\$ <u>1,000</u>	<u>549,000</u>	<u>2,300,652</u>	<u>2,850,652</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Cash Flows
Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Cash flows from operating activities:		
Net income (loss)	\$ (149,387)	99,772
Adjustments to reconcile net income (loss) to net cash from operating activities:		
Depreciation and amortization	243,966	254,968
Provision for doubtful accounts	50,879	1,704
Gain on disposal of fixed assets	(2,667)	-
Change in cash value of life insurance	-	176,655
Effects of changes in assets and liabilities:		
Accounts receivable	340,209	1,516,279
Inventories	75,026	637,361
Prepaid expenses	5,883	(6,040)
Accounts payable	(2,482)	(896,620)
Accrued expenses	(135,994)	(65,702)
Customer deposits	(202,140)	202,140
Net cash from operating activities	<u>223,293</u>	<u>1,920,517</u>
Cash flows from investing activities:		
Proceeds from sale of property and equipment	2,667	-
Purchase of property and equipment	(129,571)	(129,325)
Purchase of certificates of deposit	(300,000)	-
Net change in deposits	9,509	10,514
Net cash used in investing activities	<u>(417,395)</u>	<u>(118,811)</u>
Cash flows from financing activities:		
Net proceeds (payments) on line of credit	-	(700,000)
Principal payments on long-term debt	(18,817)	(17,991)
Payments on lease obligations	(3,001)	(7,166)
Distributions	(82,013)	(693,888)
Net cash used in financing activities	<u>(103,831)</u>	<u>(1,419,045)</u>
(Decrease) increase in cash and cash equivalents	(297,933)	382,661
Cash and cash equivalents, beginning of year	<u>606,665</u>	<u>224,004</u>
Cash and cash equivalents, end of year	<u>\$ 308,732</u>	<u>606,665</u>

See independent accountants' review report and notes to financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

The following accounting principles and practices of the Company are set forth to facilitate the understanding of data presented in the financial statements:

Company Activities

Highland Computer Forms, Inc. (Company) is a manufacturer of single and multiple part continuous computer paper and business forms. The Company operates manufacturing plants in Ohio and Indiana.

Use of Estimates

The preparation of these financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, instruments that have an original maturity of three months or less are classified as cash equivalents. Cash paid for interest during 2024 and 2023 amounted to \$19,149 and \$22,060, respectively.

Accounts Receivable and Allowance for Credit Losses

Accounts receivable are uncollateralized customer obligations due under normal trade terms. The Company does not assess interest on past-due accounts. An allowance for credit losses is an estimate based upon historical account write-off trends, facts about the current financial condition of the debtor, forecasts of future operating results based upon current trends and macroeconomic factors. Credit quality is monitored through the timing of payments compared to payment terms and known facts regarding the financial condition of debtors. Accounts receivable balances are charged off against the allowance for credit losses after recovery efforts have ceased. Management has reviewed the Company's accounts receivable and determined that expected credit losses are not material.

Inventories

Inventories of raw material and supplies are valued at the lower of net realizable value or cost as determined under the first-in, first-out method (FIFO). Production runs of the various forms produced by the Company are generally of short duration; therefore, the Company does not capture, or price, in-process inventories. Inventories of finished goods are valued at a fixed percentage of Company's current distributors' price by product. The Company's management is of the opinion that this method approximates the fully burdened cost of the inventory on a FIFO basis.

Goodwill

Goodwill is recognized for the excess of the purchase price over the fair value of tangible and identifiable intangible net assets of businesses acquired. Goodwill reflected on the balance sheets represents the cost of purchased goodwill related to the acquisition of Pummill Business Forms, Inc. in 2010. Generally accepted accounting principles require that the unamortized value of purchased goodwill be evaluated annually to determine whether the amount reported on the balance sheet as an asset has been impaired. In management's opinion, there has been no impairment to the value of recorded goodwill during the years ended December 31, 2024 and 2023.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED):

Property, Plant, Equipment and Depreciation

Property and equipment are carried on the balance sheet at cost. Provisions for depreciation deducted in the statements of income were computed using the straight-line method. Routine maintenance and repairs and minor replacement costs are charged to expense as incurred. The undepreciated cost of equipment sold, net of related proceeds, is included in other income (expense).

Revenue Recognition

The Company derives its revenues primarily from the sale of computer forms and other paper products. Revenues are recognized when control of these products is transferred to its customers at a point in time, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those products and services. Sales and other taxes the Company collect concurrent with revenue-producing activities are excluded from revenue. Shipping and handling fees charged to customers are reported within revenue. Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing components as payment is received at or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year.

Leases

The Company considers an arrangement a lease if, at inception, the arrangement transfers the right to control the use of an identified asset for a period of time in exchange for consideration. Control is defined under ASC 842 as having both the right to obtain substantially all of the economic benefits from use of the asset and the right to direct the use of the asset. Management only reassesses its determination if the terms and conditions of the contract are changed.

Operating leases are included in operating lease right-of-use ("ROU") assets, other current liabilities, and operating lease liabilities in our balance sheets. Finance leases are included in property and equipment, other current liabilities, and other long-term liabilities in our balance sheets.

The lease term reflects the noncancellable period of the lease together with periods covered by an option to extend or terminate the lease when management is reasonably certain that it will exercise such option. The Company uses the risk-free rate for a period of time similar to the lease term, determined at the lease commencement date, in determining the present value of lease payments. The risk-free rate is used as the information necessary to determine the rate implicit in the lease and the Company's incremental borrowing rate is not readily available. Lease expense for operating leases is recognized on a straight-line basis over the lease term. Short-term leases are less than one year without purchase or renewal options that are reasonably certain to be exercised and are recognized on a straight-line basis over the lease term. The right-of-use asset is tested for impairment in accordance with ASC 360.

Income Taxes

The Company is not a taxpaying entity. The owners are liable for the tax relating to the operations of the entity. Accordingly, no provision for income taxes has been reflected in these financial statements.

Subsequent Events

The Company evaluates events and transactions occurring subsequent to the date of the financial statements for matters requiring recognition or disclosure in the financial statements. The accompanying financial statements consider events through February 21, 2025, the date on which the financial statements were available to be issued.

2. INVENTORIES:

The following summarizes the Company's inventories at December 31:

	<u>2024</u>	<u>2023</u>
Raw Materials	\$ 715,024	706,409
Finished Goods	226,314	313,473
Other	<u>80,197</u>	<u>76,679</u>
	\$ <u>1,021,535</u>	<u>1,096,561</u>

3. LINE OF CREDIT:

The Company has available a revolving line of credit with a maximum borrowing limit of \$700,000. Interest on the credit line is payable monthly at Prime rate plus 1.00%. The line of credit is secured by virtually all Company assets and personal guaranties of the Company's stockholders. The line is due December 2025.

4. NOTES PAYABLE:

The Company's term debt outstanding at December 31 consisted of the following:

	<u>2024</u>	<u>2023</u>
\$500,000 note payable in monthly installments of \$3,163 including interest at 4.50% through February 2025. Monthly installments of \$3,846 including interest at 7.375% beginning February 2025. Rate reset every 60 months through December 2040. Secured by mortgage and a personal guarantee of the Company's stockholders.	\$ 415,107	433,924
Less current portion	<u>15,885</u>	<u>18,817</u>
Long term portion	\$ <u>399,222</u>	<u>415,107</u>

Principal payments for subsequent years are as follows:

2025	\$ 15,885
2026	16,740
2027	18,036
2028	19,353
2029	20,929
Thereafter	<u>324,164</u>
	\$ <u>415,107</u>

5. LEASE AGREEMENTS:

The Company's leases certain real estate and office equipment. The Company's lease agreements do not contain any material residual value guarantees or material restrictive covenants. Variable lease payments are excluded from the right-of-use asset and lease liabilities and are expensed as incurred.

5. LEASE AGREEMENTS (CONTINUED):

The Company's finance lease consisted of an agreement to lease office equipment through IBM lease company. The lease was through April 2024 and provided for monthly lease payments of \$754. The Company's operating lease consisted of an agreement to lease office space in Iowa from ND 25 W Park Building LLC. The lease was through June 2024 and provided for monthly lease payments of \$1,273.

For the years ended December 31 the Company had the following recorded in operating expenses associated with lease arrangements:

	<u>2024</u>	<u>2023</u>
Finance lease cost:		
Amortization of right-of-use assets	\$ 3,001	8,739
Interest on lease liabilities	63	310
Operating lease expense	7,635	15,270

6. OPERATING LEASES, SHORT TERM, RELATED PARTIES:

The Company is obligated under an agreement to lease a manufacturing facility and office space in Ohio from Fordyce Acquisition Group (owned by certain officers and employees of the Company). The lease is on a twelve-month basis and provides for monthly rentals of \$3,300. Accounts payable to Fordyce amounted to \$- and \$77,500 for the years ended December 31, 2024 and 2023, respectively. Rent expense under this lease amounted to \$39,600 for the years ended December 31, 2024 and 2023.

The Company is obligated under an agreement to lease a manufacturing facility and office space in Indiana with a former shareholder of the Company. The lease is on a twelve-month basis and provides for monthly rentals of \$7,000. Beginning January 1, 2024, monthly rentals increased to \$8,000. Rent expense under this lease amounted to \$96,000 and \$84,000 for the years ended December 31, 2024 and 2023.

7. NOTE PAYABLE, AFFILIATE:

The Company has a note payable to an affiliated partnership through prior common ownership. The balance of the note arose through payments financed due to unpaid lease payments. The note bears no rate of interest, is unsecured and is due upon demand. Since no payments are expected within the next twelve months, the note balance has been presented as long term on the balance sheet. The balance on the note payable amounted to \$193,786 on December 31, 2024 and 2023.

8. CASH VALUES OF LIFE INSURANCE:

The Company maintains key-man life insurance policies on certain officers and employees. Under key-man insurance, the Company pays the premiums and receives, upon termination of the policy or the death of the insured, the cash surrender value of the policy. The insured designates a beneficiary to receive the balance of the benefits paid. The cash value of the plans was distributed to shareholders during 2023.

9. RETIREMENT PLAN:

The Company has a savings and retirement plan under Section 401(k) of the Internal Revenue Code. The plan allows employees to defer up to the maximum percentage of compensation and dollar amount permissible under section 402(g) of the IRC not to exceed the limits of applicable code sections. The Company, at management's discretion, may also contribute to the Plan. The total charge against income for the Company's discretionary contributions to the plan was \$75,678 and \$75,770 during 2024 and 2023, respectively.

10. CONCENTRATIONS:

The Company maintains its cash accounts in financial institutions where balances may have exceeded Federal Deposit Insurance Corporations (FDIC) limits at various times during the years ended December 31, 2024 and 2023. The Company has not experienced any losses on such accounts.

Highland Computer Forms, Inc.
Schedules of Cost of Goods Sold
Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Beginning inventories	\$ 1,096,561	1,733,922
Purchases and other costs:		
Paper	3,692,358	3,982,914
Production and collator wages	1,049,527	1,219,010
Indirect labor	523,378	608,621
Health insurance	383,282	476,537
Supplies	328,289	331,999
Buyouts and outside purchases	276,518	257,467
Supervisors' salaries	268,102	280,397
Utilities	238,882	258,091
Payroll taxes	200,385	232,730
Cartons	180,668	225,574
Lease	166,575	160,446
Equipment depreciation	166,471	185,159
Repairs and maintenance	153,388	237,506
Plates and negatives	134,081	137,702
Shipping wages	119,383	93,521
Ink	94,918	94,148
Retirement plan expenses	53,479	52,088
Envelopes	31,056	33,531
Carbon products	6,961	6,603
Vehicle depreciation	4,385	4,385
Copy paper	2,773	-
Materials	1,901	48,614
Truck expenses	82	2,219
Net freight expense	(25,983)	13,336
Purchase discounts	<u>(62,632)</u>	<u>(85,166)</u>
Total goods available for sale	9,084,788	10,591,354
Less ending inventories	<u>(1,021,535)</u>	<u>(1,096,561)</u>
Cost of goods sold	\$ <u><u>8,063,253</u></u>	<u><u>9,494,793</u></u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Schedules of Operating Expenses
Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Office salaries	\$ 575,317	634,812
Insurance	146,115	147,445
Administrative salaries	128,935	127,950
Professional fees	90,099	112,984
Depreciation	73,110	65,424
Bad debt expense	50,879	1,704
General taxes	46,939	57,431
Caretaking expenses	46,071	63,705
Payroll taxes	43,462	54,543
Bank and payroll service charges	43,033	39,873
Office repairs and maintenance	42,669	23,969
Travel and entertainment	29,319	43,250
Telephone and internet	28,373	32,412
Retirement plan expenses	22,199	23,682
Office supplies	21,693	33,986
Employee relations	11,149	8,275
Advertising	10,995	12,447
Postage	4,270	6,589
Selling expenses	1,753	10,325
Charitable contributions	1,500	7,429
Training and education	1,425	1,410
Dues and subscriptions	265	259
Miscellaneous expenses	<u>1,255</u>	<u>576</u>
	\$ <u><u>1,420,825</u></u>	<u><u>1,510,480</u></u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Balance Sheets
December 31, 2024

Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 286,933	21,799	-	308,732
Certificates of deposit	300,000	-	-	300,000
Accounts receivable, trade	600,833	15,236	(7,603)	608,466
Accounts receivable, other	8,193	-	-	8,193
Inventories	1,021,535	-	-	1,021,535
Prepaid expenses	5,961	-	-	5,961
	<u>2,223,455</u>	<u>37,035</u>	<u>(7,603)</u>	<u>2,252,887</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,078,356	65,050	-	1,143,406
Machinery and equipment	6,759,705	-	-	6,759,705
Vehicles	149,313	-	-	149,313
Furniture, fixtures and office equipment	231,112	-	-	231,112
	<u>8,818,486</u>	<u>65,050</u>	<u>-</u>	<u>8,883,536</u>
Less accumulated depreciation	<u>7,110,597</u>	<u>14,418</u>	<u>-</u>	<u>7,125,015</u>
	<u>1,707,889</u>	<u>50,632</u>	<u>-</u>	<u>1,758,521</u>
Other assets:				
Goodwill	10,000	-	-	10,000
Deposits	500	-	-	500
	<u>10,500</u>	<u>-</u>	<u>-</u>	<u>10,500</u>
	<u>\$ 3,941,844</u>	<u>87,667</u>	<u>(7,603)</u>	<u>4,021,908</u>

See independent accountants' review report.

Liabilities and Stockholders' Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Long-term debt, current portion	\$ 15,885	-	-	15,885
Accounts payable, trade	281,913	7,603	(7,603)	281,913
Accrued payroll and related costs	237,167	-	-	237,167
Accrued taxes	43,283	-	-	43,283
	<u>578,248</u>	<u>7,603</u>	<u>(7,603)</u>	<u>578,248</u>
Long-term debt:				
Note payable, affiliate	193,786	-	-	193,786
Long-term debt, net of current portion	399,222	-	-	399,222
	<u>593,008</u>	<u>-</u>	<u>-</u>	<u>593,008</u>
Stockholders' equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	2,220,588	80,064	-	2,300,652
	<u>2,770,588</u>	<u>80,064</u>	<u>-</u>	<u>2,850,652</u>
	<u>\$ 3,941,844</u>	<u>87,667</u>	<u>(7,603)</u>	<u>4,021,908</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year Ended December 31, 2024

	<u>HCF Division</u>	<u>G. Fordyce Division</u>	<u>Eliminating Entries</u>	<u>Total</u>
Sales, net	\$ 8,855,077	370,068	-	9,225,145
Other income	<u>126,021</u>	<u>-</u>	<u>-</u>	<u>126,021</u>
Net revenue	8,981,098	370,068	-	9,351,166
Cost of goods sold	<u>7,709,431</u>	<u>353,822</u>	<u>-</u>	<u>8,063,253</u>
Gross profit	1,271,667	16,246	-	1,287,913
Operating expenses	<u>1,405,438</u>	<u>15,387</u>	<u>-</u>	<u>1,420,825</u>
Income (loss) from operations	<u>(133,771)</u>	<u>859</u>	<u>-</u>	<u>(132,912)</u>
Other income (expense):				
Interest income	7	-	-	7
Interest expense	(19,149)	-	-	(19,149)
Gain on disposal of fixed assets	<u>2,667</u>	<u>-</u>	<u>-</u>	<u>2,667</u>
	<u>(16,475)</u>	<u>-</u>	<u>-</u>	<u>(16,475)</u>
Net income (loss)	\$ <u>(150,246)</u>	<u>859</u>	<u>-</u>	<u>(149,387)</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year Ended December 31, 2024

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 1,051,427	45,134	-	1,096,561
Purchases and other costs:				
Paper	3,692,358	-	-	3,692,358
Production and collator wages	965,420	84,107	-	1,049,527
Indirect labor	523,378	-	-	523,378
Health insurance	383,282	-	-	383,282
Supplies	327,826	463	-	328,289
Buyouts and outside purchases	69,427	207,091	-	276,518
Supervisors' salaries	268,102	-	-	268,102
Utilities	238,882	-	-	238,882
Payroll taxes	200,385	-	-	200,385
Cartons	180,668	-	-	180,668
Lease	156,975	9,600	-	166,575
Equipment depreciation	166,471	-	-	166,471
Repairs and maintenance	152,408	980	-	153,388
Plates and negatives	134,081	-	-	134,081
Shipping wages	119,383	-	-	119,383
Ink	94,918	-	-	94,918
Retirement plan expenses	53,479	-	-	53,479
Envelopes	31,056	-	-	31,056
Carbon products	6,961	-	-	6,961
Vehicle depreciation	4,385	-	-	4,385
Copy paper	2,773	-	-	2,773
Materials	-	1,901	-	1,901
Truck expenses	82	-	-	82
Net freight expense	(30,775)	4,792	-	(25,983)
Purchase discounts	(62,386)	(246)	-	(62,632)
Total goods available for sale	8,730,966	353,822	-	9,084,788
Less ending inventories	(1,021,535)	-	-	(1,021,535)
Cost of goods sold	\$ <u>7,709,431</u>	<u>353,822</u>	<u>-</u>	<u>8,063,253</u>

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Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year Ended December 31, 2024

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 575,317	-	-	575,317
Insurance	146,115	-	-	146,115
Administrative salaries	128,935	-	-	128,935
Professional fees	90,099	-	-	90,099
Depreciation	66,605	6,505	-	73,110
Bad debt expense	50,879	-	-	50,879
General taxes	46,939	-	-	46,939
Caretaking expenses	46,071	-	-	46,071
Payroll taxes	43,462	-	-	43,462
Bank and payroll service charges	42,997	36	-	43,033
Office repairs and maintenance	42,669	-	-	42,669
Travel and entertainment	23,822	5,497	-	29,319
Telephone and internet	28,373	-	-	28,373
Retirement plan expenses	22,199	-	-	22,199
Office supplies	20,600	1,093	-	21,693
Employee relations	10,599	550	-	11,149
Advertising	10,995	-	-	10,995
Postage	4,009	261	-	4,270
Selling expenses	1,753	-	-	1,753
Charitable contributions	1,500	-	-	1,500
Training and education	1,425	-	-	1,425
Miscellaneous expenses	(24)	1,279	-	1,255
Dues and subscriptions	99	166	-	265
	<u>\$ 1,405,438</u>	<u>15,387</u>	<u>-</u>	<u>1,420,825</u>

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Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 519,446	87,219	-	606,665
Accounts receivable, trade	825,739	101,789	(9,935)	917,593
Accounts receivable, other	90,154	-	-	90,154
Inventories	1,051,427	45,134	-	1,096,561
Prepaid expenses	11,844	-	-	11,844
	<u>2,498,610</u>	<u>234,142</u>	<u>(9,935)</u>	<u>2,722,817</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,027,967	65,050	-	1,093,017
Machinery and equipment	6,717,643	-	-	6,717,643
Vehicles	149,313	-	-	149,313
Furniture, fixtures and office equipment	209,970	-	-	209,970
	<u>8,704,893</u>	<u>65,050</u>	<u>-</u>	<u>8,769,943</u>
Less accumulated depreciation	<u>6,889,114</u>	<u>7,913</u>	<u>-</u>	<u>6,897,027</u>
	<u>1,815,779</u>	<u>57,137</u>	<u>-</u>	<u>1,872,916</u>
Other assets:				
Right of use assets, operating	7,572	-	-	7,572
Goodwill	10,000	-	-	10,000
Deposits	10,009	-	-	10,009
	<u>27,581</u>	<u>-</u>	<u>-</u>	<u>27,581</u>
	<u>\$ 4,341,970</u>	<u>291,279</u>	<u>(9,935)</u>	<u>4,623,314</u>

Liabilities and Stockholders' Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Long-term debt, current portion	\$ 18,817	-	-	18,817
Finance lease, current portion	3,001	-	-	3,001
Operating lease, current portion	7,572	-	-	7,572
Accounts payable, trade	284,395	9,935	(9,935)	284,395
Accrued payroll and related costs	295,060	-	-	295,060
Accrued rent, affiliates	77,500	-	-	77,500
Accrued taxes	43,884	-	-	43,884
Customer deposits	-	202,140	-	202,140
	<u>730,229</u>	<u>212,075</u>	<u>(9,935)</u>	<u>932,369</u>
Long-term debt:				
Note payable, affiliate	193,786	-	-	193,786
Long-term debt, net of current portion	<u>415,107</u>	<u>-</u>	<u>-</u>	<u>415,107</u>
	<u>608,893</u>	<u>-</u>	<u>-</u>	<u>608,893</u>
Stockholders' equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	<u>2,452,848</u>	<u>79,204</u>	<u>-</u>	<u>2,532,052</u>
	<u>3,002,848</u>	<u>79,204</u>	<u>-</u>	<u>3,082,052</u>
	<u>\$ 4,341,970</u>	<u>291,279</u>	<u>(9,935)</u>	<u>4,623,314</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year Ended December 31, 2023

	<u>HCF Division</u>	<u>G. Fordyce Division</u>	<u>Eliminating Entries</u>	<u>Total</u>
Sales, net	\$ 10,655,460	264,960	-	10,920,420
Other income	<u>206,685</u>	<u>-</u>	<u>-</u>	<u>206,685</u>
 Total revenues	 10,862,145	 264,960	 -	 11,127,105
Cost of goods sold	<u>9,171,944</u>	<u>322,849</u>	<u>-</u>	<u>9,494,793</u>
 Gross profit	 1,690,201	 (57,889)	 -	 1,632,312
Operating expenses	<u>1,498,317</u>	<u>12,163</u>	<u>-</u>	<u>1,510,480</u>
 Income (loss) from operations	 191,884	 (70,052)	 -	 121,832
Other income (expense):				
Interest expense	<u>(22,060)</u>	<u>-</u>	<u>-</u>	<u>(22,060)</u>
 Net income (loss)	 \$ <u>169,824</u>	 <u>(70,052)</u>	 <u>-</u>	 <u>99,772</u>

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Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year Ended December 31, 2023

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 1,733,922	-	-	1,733,922
Purchases and other costs:				
Paper	3,982,914	-	-	3,982,914
Production and collator wages	1,082,631	136,379	-	1,219,010
Indirect labor	608,621	-	-	608,621
Health insurance	476,537	-	-	476,537
Supplies	329,822	2,177	-	331,999
Supervisors' salaries	280,397	-	-	280,397
Utilities	258,091	-	-	258,091
Buyouts and outside purchases	91,234	166,233	-	257,467
Repairs and maintenance	236,479	1,027	-	237,506
Payroll taxes	232,730	-	-	232,730
Cartons	225,574	-	-	225,574
Equipment depreciation	185,159	-	-	185,159
Lease	150,846	9,600	-	160,446
Plates and negatives	137,702	-	-	137,702
Ink	94,148	-	-	94,148
Shipping wages	93,521	-	-	93,521
Retirement plan expenses	52,088	-	-	52,088
Materials	-	48,614	-	48,614
Envelopes	33,531	-	-	33,531
Net freight expense	9,173	4,163	-	13,336
Carbon products	6,603	-	-	6,603
Vehicle depreciation	4,385	-	-	4,385
Truck expenses	2,219	-	-	2,219
Purchase discounts	(84,956)	(210)	-	(85,166)
Total goods available for sale	10,223,371	367,983	-	10,591,354
Less ending inventories	(1,051,427)	(45,134)	-	(1,096,561)
Cost of goods sold	\$ 9,171,944	322,849	-	9,494,793

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year Ended December 31, 2023

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 634,812	-	-	634,812
Insurance	147,445	-	-	147,445
Administrative salaries	127,950	-	-	127,950
Professional fees	112,984	-	-	112,984
Depreciation	57,511	7,913	-	65,424
Caretaking expenses	63,705	-	-	63,705
General taxes	57,431	-	-	57,431
Payroll taxes	54,543	-	-	54,543
Travel and entertainment	41,639	1,611	-	43,250
Bank and payroll service charges	39,709	164	-	39,873
Office supplies	32,828	1,158	-	33,986
Telephone and internet	32,412	-	-	32,412
Office repairs and maintenance	23,969	-	-	23,969
Retirement plan expenses	23,682	-	-	23,682
Advertising	12,447	-	-	12,447
Selling expenses	10,325	-	-	10,325
Employee relations	7,875	400	-	8,275
Charitable contributions	7,429	-	-	7,429
Postage	6,408	181	-	6,589
Bad debt expense	1,704	-	-	1,704
Training and education	1,410	-	-	1,410
Dues and subscriptions	99	160	-	259
Miscellaneous expenses	-	576	-	576
	<u>\$ 1,498,317</u>	<u>12,163</u>	<u>-</u>	<u>1,510,480</u>

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